

A Satisfied Workforce

by Sophia



WHAT'S COVERED

In this lesson, you will learn about the efforts employers make beyond compensation to make a work environment to aid in recruiting and retaining staff. In particular, you will learn about:

1. Perks

While creating a safe work environment where all employees are treated with dignity and respect, some employers go further, and foster environments where employees can flourish. After all, most people spend at least one-third and possibly as much as one-half of their waking hours at work. Management, therefore, should make work a place where people can thrive, that fosters an atmosphere in which they can be engaged and productive. Workers are happier when they like where they work and when they do not have to worry about childcare, health insurance, or being able to leave early on occasion to attend a child's school play, for example. Workers are often more satisfied, as well as productive, when they feel physically safe and secure (as well as safe from bullying or harassment). Historically, a good job was reliable and long-lasting, and employees tended to stay with the same employer for years. There were not many extras other than a secure job, health insurance, and a pension plan. However, today's workers have lower expectations of a life-long job. Health insurance usually comes with both paycheck deductions and out-of-pocket expenses. Pensions have given way to retirement accounts, which—unlike pensions—do not guarantee to see a person through their final years as inflation grows, costs escalate, and healthcare needs increase.

Employers have countered by expanding upon traditional benefits to offer more **perks**, or nonmonetary benefits. Perks can include benefits to the work environment such as an on-site gym, on-site daycare, free coffee, or at least the presence of an upscale coffee shop. Perks can also mean efforts to accommodate people's schedules with flexible work schedules or more time off. Perks can help people with professional development through tuition reimbursement, training opportunities, or counseling services.

Basic Perks	Bonus Perks
• Health Insurance • Vacation & Sick Leave • Retirement Investments • Regular Pay Increases	• Flexible Schedule • On-Site Childcare or Childcare Allowance • On-Site Gym or Reduced Gym Fees



REFLECT

What perks make a job or work environment most appealing to you?

Employers must decide exactly how to spend the resources they have allocated to labor, and it can be challenging to make the right decision about what to provide workers. Should managers ask employees what they want? Benchmark the competition? Follow the founder's or the board's recommendations? How does a company make lifestyle benefits fair and act ethically when there is backlash against family-friendly policies from people who do not have their own families? Unlike the purchase of raw materials, utilities, and other budgetary items, which is driven primarily by cost and may present only a few choices, management's offering of employee benefits can present dozens of options, with costs ranging from minimal to very high. Work-at-home programs may actually cost the company very little, for example, whereas health insurance benefits may cost significantly more. In many other industrialized countries, the government provides benefits such as health insurance and retirement plans, so a company does not have to weigh the pros and cons of what to offer in this area. In the United States, employee benefits become part of a **cost-benefit analysis**, a process for determining if an investment is worth more than it costs, especially for small and mid-sized companies. These can be hard to ascertain for intangibles like a better work environment. Even larger companies today are debating what benefits to offer.

Another decision is what benefit choices management should allow each employee to make, and which choices to make for the workforce as a whole. The best managers communicate regularly with their workforce; as a result, they are more likely to know (and be able to inform top management about) the types of perks most desired and most likely to attract and keep good workers. In some cases, their decisions may serve other ethical purposes. For example, subsidizing or completely funding public transportation or carpool options can help reduce the carbon footprint of the company as a whole, or allowing paid leave to employees who volunteer at nonprofit organizations can both be a perk to employees and contribute to the community.

Men and women do not always want the same benefits, which presents a challenge for management. For instance, many women place about twice as much value as many men do on daycare (23%–11%) and on paid family leave (24%–14%). Also valued more highly generally by women than by men are better health insurance, work-from-home options, and flexible hours, whereas more men value an on-site gym and free coffee more than women typically do.



THINK ABOUT IT

How does this selection of benefits affect efforts towards equity at a company? For example, while only a few people may have children young enough to require on-site daycare, leaving work to care for children is one of the biggest reasons women take an extended leave of absence from work.

Age and generation also play a role in the types of perks that employees value. Workers aged 18 to 35 rank career advancement opportunities (32%) and work-life balance (33%) as most important to them at work. However, 42% of workers older than 35 say work-life balance is the most important feature. This is likely because Generation X (born in the years 1965–1980) place a high value on opportunities for work-life balance, although, like Baby Boomers (born in the years 1946–1964), they also value salary and a solid retirement plan. On the other hand, Millennials (born in the years 1981–1997) appreciate flexibility: having a choice of benefits, paid time off, the ability to telecommute, flexible hours, and opportunities for professional development. The menu of benefits and perks thus depends on several variables, such as what the company can afford, whether employees value perks over the more direct benefit of higher pay, what the competition offers, what the industry norm is, and the company's geographic location.

➞ **EXAMPLE** Google is constantly searching for ways to improve the health, well-being, and morale of its “Googlers.” The company is famous for offering unusual perks, like bicycles and electric cars to get staff around its sprawling California campus. Additional benefits are generous paid parental leave for new parents, on-site childcare centers at one location, paid leaves of absence to pursue further

education with tuition covered, and on-site physicians, nurses, and health care. Other perks are gaming centers, organic gardens, eco-friendly furnishings, a pets-at-work policy, meditation and mindfulness training, and travel insurance and emergency assistance on personal and work-related travel. On the death of a Google employee, his or her spouse or domestic partner is compensated with a check for 50% of the employee's salary each year for a decade. In addition, all a deceased employee's stock options vest immediately for the surviving spouse or domestic partner. Furthermore, a deceased employee's children receive \$1000 per month until they reach the age of 19, or until the age of 23 if they are full-time students.

It's important to note, however, that this is for full-time/permanent Google employees only; the company (like many) also has a large number of "independent contractors" who do not receive these benefits.

Besides helping recruit and retain staff and reduce turnover, such perks are simply good business. Happy employees are more productive and more focused, which enhances their performance and leads to better customer treatment, fewer sick days, fewer on-the-job accidents, and less stress and burnout. They are more focused on their work, more creative, better team players, are more likely to help others, and are more likely to show leadership qualities.



TERMS TO KNOW

Perks

Benefits besides direct compensation, including health insurance and retirement but also non-monetary benefits like a flexible work schedule and on-site amenities.

Cost-Benefit Analysis

The process a company goes through to determine if the benefits of an investment outweigh the costs.

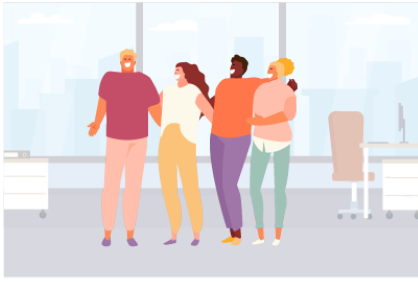
2. Managerial Relationships With Staff

How else does an employer go about the process of making workers happy? Research has identified several pitfalls that managers should avoid if they want to have a good working relationship with their direct reports and, indeed, all their employees. One is making employees feel like they are *just* employees. To be happy at work, employees instead need to feel like they know each other, have friends at work, are valued, and belong. Another pitfall is remaining aloof or above your employees. Taking an authentic interest in who they are as people really does matter. When surveys ask employees, "Do you feel like your boss cares about you?", too frequently the answer is no. One way to show caring and interest is to recognize when employees are making progress; another might be to take a personal interest in their lives and families. Asking employees to share their ideas and implementing these ideas whenever possible is another form of acknowledgement and recognition. Pause and highlight important milestones people achieve, and ensure that they feel their contributions are noticed by saying thank you.



REFLECT

If you've had a boss you really liked and appreciated, what qualities did they have that made you feel that way? Conversely, what qualities were missing in the bosses you didn't like? Perhaps they had higher ethical standards for employees than they did for themselves, or they did not make you feel like you were important to the business.



Good advice to new managers includes making work fun. Allow people to joke around as appropriate so that when mistakes occur, they can find (workplace appropriate) humor in the situation and move forward without fixating simply on the downside. Celebrate accomplishments. Camaraderie and the right touch of humor can build a stronger workplace culture. Encourage exercise and sleep rather than long work hours, because those two factors improve employees' health, focus, attention, creativity, energy, and mood. In the long run, expecting or encouraging people to regularly work long hours because leaving on time looks bad is counterproductive to the goals of a firm. Accept that employees need to disengage sometimes. People who feel they are always working because their management team expects they must remain in touch via email or mobile phone can become tremendously stressed. To combat this, companies should not expect their workers to be available around the clock, and workers should not feel compelled to be so available. Rather, employers should allow employees to completely disengage regularly so they can focus on their friends and families and tend to their own personal priorities. By way of international comparison, according to a recent article in *Fortune*, Germany and France have actually gone as far as banning work-related emails from employers on the weekends, which is a step in the right direction, even if only because disconnecting from work is now mandated by law.

In addition to offering benefits and perks, managers can foster a healthy workplace by applying good “people skills” as well. Managers who are respectful, open, transparent, and approachable can achieve two goals simultaneously: a workforce that is happier and also one that is more productive. Good management requires constant awareness that each team member is also an individual working to meet both personal and company goals. Effective managers act on this by regularly meeting with employees to recognize strengths, identify constructive ways to improve on weaknesses, and help workers realize collective and individual goals. Ethical businesses and good managers also invest in efforts like performance management and employee training and development. These commitments call for giving employees frequent and honest feedback about what they do well and where they need improvement, thereby enabling them to develop the skills they need, not only to succeed in the current job but to move on to the next level. Fostering teamwork by treating people fairly and acknowledging their strengths is also an important responsibility of management. Ethical managers, therefore, demonstrate most, if not all, of the following qualities: cultural awareness, positive attitude, warmth and empathy, authenticity, emotional intelligence, patience, competence, accountability, respectfulness, and honesty.



SUMMARY

In this lesson, you learned about perks and managerial relationships. **Perks** refers to benefits besides pay to employees that make a job or work environment more appealing. **Managerial relationships** with workers is often a point of conflict, and the unequal power positions combined with differences in expectations, compensation, and the pay ratio can contribute to a challenging work environment. Effective managers bring the team members together to produce more than they could individually, adding value to the organization as they demonstrate productivity. Respect and recognition are essential elements of effective management.

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